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The World

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Twin 7.7 and 6.6 earthquakes strike Panama, prompt evacuations as aftershocks continue

Associated Press
Panama City, October 10

TWO POWERFUL 7.7 and 6.6 magnitude earthquakes and a series of aftershocks roiled southern Panama Friday afternoon, collapsing buildings near the epicenter and prompting evacuations across the country.

The earlier quake, felt as far away as neighboring Colombia, was centered about 10 kilometers (6 miles) southwest of the remote community of Pitaloza Arriba, in the central province of Herrera, the USGS said. It struck at a depth of 10 kilometers. The USGS initially reported the first quake as magnitude 8, then revised it to 7.6 and later to 7.7.

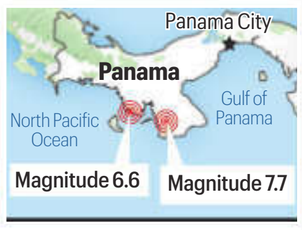
Visibly shaken residents of Panama City, the capital, gathered outside as they waited for news of the quake's impact on Friday. "We felt it very strongly. It knocked things over in the kitchen, but we're okay, though we're very scared," Rosendo Domínguez, 60, who is from Herrera province, where the earthquake struck, told The Associated Press by phone. "Everyone is outside, scared."

Multiple aftershocks continued to rattle Panama, including several measuring magnitude 5.8, 5.5 and 5.2. Seismologists at the University of Panama recorded more than 45 aftershocks, though many were too weak to be felt.



Vehicles lie crushed beneath a collapsed hotel after an earthquake struck Penonome, Panama, on Friday. AP

•POWERFUL QUAKES JOLT PANAMA



Despite the strength of the successive quakes, Panamanian President José Raúl Mulino said authorities had not documented anyone killed as of Friday evening, though he cautioned that could change in the coming hours or days.

"Nobody was ready, and no one is ever ready for this type of disaster," Mulino said, after calling for calm earlier in the day.

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EYE

That Holiday Dish

Manish Mehrotra prepares a no-onion, no-garlic chole bhature from his childhood and tells us why he rarely cooks a recipe straight off a page

DEVOTED TO DANCE
BY SUANSHU KHURANA

Kathak exponent Roshan Kumari, part of celebrated trinity of Sitara Devi and Damayanti Joshi, died this week



DAILY FROM: AHMEDABAD, CHANDIGARH, DELHI, JAIPUR, KOLKATA, LUCKNOW, MUMBAI, NAGPUR, PATNA, PUNE, VADODARA

Rupee near 97 vs dollar, RBI unveils measures to curb speculation

New Foreign Exchange Risk Reserve requires banks to set aside 20% of derivative contracts in cash with RBI

George Mathew
Mumbai, October 10

THE RESERVE Bank of India (RBI) early Saturday announced a raft of measures to defend the rupee and curb speculation including a novel mechanism borrowed from the Chinese playbook.

Called the Foreign Exchange Risk Reserve (FERR), this requires banks to now set aside in cash with the RBI 20%

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e EXPLAINED

Tighter control

For market participants accustomed to greater flexibility, the new rules mean tighter controls, additional costs and closer scrutiny. This will raise the cost of taking large currency positions and restrict rebooking of cancelled contracts.

RBI

of the forex derivative contract they enter into of over $2 million involving the rupee. This makes protection from a fall in the rupee more expensive. The RBI can change the exact percentage of the forex derivative that needs to be set aside by banks in cash.

The rupee has come precariously close to its lowest ever over the last few days, and is inching closer to 97 against the US dollar. Global crude oil prices are also sizzling above the $100 per barrel mark. To strengthen market discipline, curb excessive speculative activity and bring greater transparency to foreign exchange transactions, the RBI has restricted rebooking cancelled foreign exchange derivative contracts, reduced the threshold for transactions without establishing underlying exposure, and strengthened documentation requirements. These changes could significantly alter how banks, corporations, financial institutions and currency traders manage their foreign exchange positions.

Forex reserves dipped by $12.95 billion to $734.60 billion during the week ended October 2. The rupee has remained under pressure despite the huge inflows of over $143 billion under the FCNR scheme. In calendar year 2026 alone, the rupee has fallen 5.5 per cent.

Higher oil prices also lead to imported inflation at a time when retail inflation is forecast to touch 5.2 per cent in FY27 and the RBI is on a rate hiking cycle. It hiked repo rates by 25 bps to 5.50 per cent on October 7. For the RBI, signs of fresh discontent in the forex market were visible the same day when despite the policy rate hike, the rupee fell. Higher interest rates should theoretically strengthen the rupee as supply of the currency is expected to fall.

For market participants accustomed to greater flexibility, the new rules mean tighter controls, additional costs and closer scrutiny. Saturday's measures will raise the cost of taking large currency positions, restrict the rebooking of cancelled contracts and force banks to verify underlying exposures.

The message is clear: the foreign exchange market must serve genuine economic needs, not become a playground for unchecked speculation.

$100 mn window down to $5 mn

One of the most consequential changes is the reduction of the threshold for undertaking foreign exchange derivative transactions without establishing the existence of the underlying exposure. The RBI has slashed the existing limit from $100 million to $5 million equivalent across authorised dealers. The corresponding threshold for exchange-traded currency derivatives involving the rupee has also been reduced from $100 million to $5 million equivalent across all recognised stock exchanges taken together. This means a 95 per cent reduction in the threshold. Market participants can no longer rely on the earlier, much higher limit to undertake qualifying derivative transactions without establishing the underlying exposure. The tighter threshold is intended to reduce the scope for large positions that are not adequately linked to genuine foreign exchange risks. However, this should not be interpreted as a blanket ban on all currency derivatives above $5 million.

Rebooking no longer an option

The RBI has also moved to prevent repeated cancellation and rebooking of rupee-involving foreign exchange derivative contracts. Under the new direction, authorised dealers must not permit users to rebook a foreign exchange derivative contract involving the Indian rupee, whether deliverable or non-deliverable, if the contract was cancelled with any authorised dealer after the issuance of the directions.

The restriction applies to rebooking cancelled contracts, not to every new derivative transaction. The RBI has also clarified that rolling over contracts at maturity will continue to be permitted, subject to existing regulatory requirements.

Analysts said repeated cancellation and rebooking can create opportunities for users to change positions as market conditions shift. Tighter restrictions make that flexibility harder to exploit and encourage participants to exercise greater discipline before entering into contracts.

No double-hedging

The RBI is also strengthening the checks designed to prevent the same underlying exposure from being hedged through multiple authorised dealers.

Banks must now obtain and retain an undertaking from users entering into rupee-involving foreign exchange derivatives to hedge contracted exposures. The undertaking must confirm that the same underlying exposure has not been hedged with another authorised dealer. This requirement places greater responsibility on both customers and banks.

The objective is to improve transparency and reduce the risk of duplicate hedging, where the same commercial exposure is used to justify multiple derivative positions. For legitimate businesses, this means additional paperwork and stronger internal controls. For banks, it means tighter compliance processes and a greater need to scrutinise customer declarations.

20% forex risk reserve: A direct cost for banks

The introduction of the Foreign Exchange Risk Reserve by the RBI is another major development. For covered foreign exchange derivative contracts involving the rupee with a notional value exceeding $2 million equivalent, authorised dealers must maintain a reserve with the RBI in cash equal to 20 per cent of the rupee equivalent of each transaction's notional amount.

The requirement applies to the specified contracts used to hedge current-account exposures where the user purchases foreign currency against the rupee. Banks will need to set aside cash for the prescribed reserve rather than freely deploy that money elsewhere. The requirement could increase the cost of providing covered derivatives, influence pricing and encourage banks and customers to reassess how they structure their hedging transactions.

The reserve is not automatically a 20 per cent fee charged to the customer. It is a cash reserve requirement imposed on authorised dealers for the specified contracts.

Why the measures now?

The rupee has faced intense pressure from adverse capital flows, currency hedging demand and a challenging global environment. On October 9, 2026, the rupee closed at around 96.73 per US dollar, close to its record low, despite a recent interest-rate increase. Against this backdrop, the RBI appears to be targeting a key source of pressure that it can regulate directly: activity in the derivatives market. When participants buy dollars or build positions anticipating rupee depreciation, those transactions can amplify demand for foreign currency and intensify market volatility.

'THE MOVE WILL ALSO BRING DOWN PRESSURE ON THE RUPEE'

RBI opens dollar lifeline for oil PSUs as rupee nears 97

George Mathew
Mumbai, October 10

The Reserve Bank of India (RBI) on Saturday said it will open a special dollar window for three public sector oil marketing companies to cushion pressure mounting on India's oil sector as crude prices surged above $100 a barrel.

The move will allow Indian Oil Corporation, Hindustan Petroleum Corporation and Bharat Petroleum Corporation to meet their entire daily dollar requirements through a facility operated by the central bank.

Effective October 12, 2026, the arrangement will remain in place until further notice. Under the mechanism, the RBI will sell dollars to the three companies through designated banks, ensuring that their daily foreign currency requirements are met. The RBI move is likely to reduce the pressure on the rupee which is almost near the 97 level against the dollar. On Friday, the rupee closed at 96.73 against the dollar.

Forex reserves also dipped by $12.95 billion to $734.60 billion during the week ended October 2.

The decision is significant not merely because of the scale of support being extended to the oil marketing companies, but also because it places the RBI directly at the centre of meeting their dollar needs.

The RBI said its decision was based on an assessment of current market conditions. However, the scope of the intervention is substantial. The facility is designed to cover the entire daily dollar requirements of all three public sector oil marketing companies, rather than provide limited or partial assistance.

The RBI's announcement also raises a larger question about the pressures confronting the oil sector when crude prices climb sharply. The need for a dedicated window covering the companies' entire daily dollar requirements demonstrates the scale of the foreign currency support being made available.

The facility will remain operational until further notice, with no fixed end date announced. This gives the arrangement an open-ended character, although the RBI has not specified how long the window is expected to remain necessary.



Giving a leg up

THE MOVE will allow Indian Oil Corporation, Hindustan Petroleum Corporation and Bharat Petroleum Corporation to meet their entire daily dollar needs through a RBI-operated facility

UNDER THE mechanism, the RBI will sell dollars to the three companies through designated banks, ensuring that their daily foreign currency requirements are met

OIL IMPORTS have to be paid for, and a weaker rupee increases their cost in domestic currency. When companies cannot fully pass on higher costs to consumers, their margins and finances come under pressure

High crude feeds inflation

India depends on imports to meet more than 88% of its crude oil requirements. This dependence leaves the economy exposed whenever international crude prices rise or the rupee weakens against the dollar. In September, *The Indian Express* reported that the three public sector OMCs were facing substantial losses on fuel sales as global petroleum prices rose and domestic retail prices did not fully reflect the increase. The companies were estimated to be losing more than Rs 500 crore daily at the time.

Oil imports have to be paid for, and a weaker rupee increases their cost in domestic currency. When companies cannot fully pass on higher costs to consumers, their margins and finances come under pressure. The consequences are not confined to the oil companies. Higher energy costs can feed into transportation, manufacturing and other sectors, eventually affecting household budgets and inflation. Higher oil prices also lead to imported inflation at a time when retail inflation is forecast to touch 5.2% in 2026-27 and the RBI is on a rate hiking cycle. It hiked repo rates by 25 bps to 5.50% on October 7.

The RBI's intervention addresses one part of this chain: the oil companies' need to buy dollars. It does not remove India's dependence on imported energy or guarantee that the rupee will strengthen.

Analysts said the RBI move will also bring down pressure on the rupee. The special window may ease the daily scramble for dollars faced by the three oil companies. Whether it provides lasting relief will depend on broader market conditions, international oil prices and the trajectory of the rupee.

ANY US MEASURE TO MAKE CBAM MORE FLEXIBLE COULD HELP INDIAN EXPORTS

How India could benefit from US probe into EU's carbon pricing mechanism

Ravi Dutta Mishra
New Delhi, October 10

IN A move that could trigger fresh trade tensions between the US and the European Union, the United States Trade Representative (USTR) has began probe into the EU's expansion of its Carbon Border Adjustment Mechanism (CBAM) by seeking public comments from American small businesses till November 9.

The USTR said that CBAM is a carbon pricing mechanism that requires EU importers of covered products in the aluminium, cement, electricity, fertiliser, hydrogen, and iron and steel sectors to declare the embedded emissions of the imported goods, and the regulation intends to apply to imported goods a carbon price that is equivalent to the carbon price that EU producers pay.

"The EU calculates the default values using country- and sector-level production and energy data to estimate the emissions intensity across countries and sectors. However, the EU adds a punitive mark-up that increases the overall values, in order to encourage the use of company-level data. CBAM requires that any company-level data provided must be verified by an EU-accredited third-party verifier," the USTR said. India was recently engaged in tough negotiations with the EU on CBAM and the regulation is expected to impact a range of India's metal exports. Any US measure to make CBAM more flexible could help Indian exports, as Indian trade negotiators had managed to secure a 'forward-Most Favoured Nation' Clause (MFN) CBAM under the India-EU trade deal.

This clause could help the Indian industry receive the same concessions that the European Union has promised the US under their trade agreement signed earlier last year, a senior government official said.

In the EU-US trade deal joint statement released in August last year too, the European Union had said, "Taking note of the US concerns related to treatment of US small and medium-sized businesses under CBAM, the European Commission, in addition to the recently agreed increase of the de minimis exception, commits to work to provide additional flexibilities in the CBAM implementation."



CBAM is a carbon pricing mechanism that requires EU importers to declare the embedded emissions of the imported goods. EXPRESS

Think tank Global Trade Research Initiative (GTRI) estimates that CBAM will hurt India's exports of metals such as iron, steel and aluminium products to the EU and will translate into a 20-35% tax on select imports into the EU. The Indian industry had told the government that the EU's move to curb exports of steel scrap, along with CBAM, acts as a non-tariff barrier, as the EU is the world's largest producer of steel scrap. However, the EU managed to keep CBAM out of the India-EU trade deal. Steel production emissions are typically highest for blast furnace —basic oxygen furnace (BF–BOF) routes, lower for gas-based direct reduced iron (DRI), and lowest for scrap-based electric arc furnace (EAF) routes.

Indian manufacturers largely use the blast furnace route and are currently underprepared to tackle CBAM. However, the government has plans to ramp up steel production using steel scrap with the arc furnace technology under the 'green steel initiative'. An Indian Council for Research on International Economic Relations (ICRIER) report said that despite the environmental and economic benefits, scrap currently constitutes only 20% of India's steelmaking feedstock, constrained by limited domestic availability of approximately 25 million metric tonnes (MMt) annually.

"In the face of intensifying non-tariff barriers and climate-linked trade instruments such as the CBAM, hard-to-abate sectors like steel are under unprecedented pressure to decarbonise. Scrap steel is central to this transition, yet India's constrained access to quality scrap remains a critical bottleneck," an ICRIER report in May 2025 by Amrita Goldar, Kumar Abhishek, and Sunishtha Yadav said.